

MGT 458a: Experiments in Firms

Winter 2026

Thursdays 8-10:50am, 1E107

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DESCRIPTION

Businesses and policymakers are increasingly using experimentation in a wide range of areas including product pricing, marketing strategies, employee incentives and shaping consumer behavior. These experiments can be particularly effective if the interventions tested incorporate insights from behavioral economics. However, many companies currently lack the knowledge necessary to take advantage of experimentation. An understanding of how to design and run a good experiment will position students at the cutting edge of decision-making in business.

The goals of the course are for students to understand: (1) the role of experiments in business and policy (2) how insights from behavioral economics can be incorporated into experimental interventions and (3) how to design and run an experiment in an organization.

We will begin by discussing the role of experiments in organizations and examining examples. Students will work individually or in teams to develop a question and design a randomized experiment to test their question. Students will run pilot studies to inform their designs. At the end of the course, students will present their pilots.

OBJECTIVES

At the close of this course, you will be able to:

- Understand the role of experimentation in business and policy
- Incorporate insights from behavioral economics into experimental interventions
- Design and implement randomized experiments
- Develop experiments that address the interests of businesses and policymakers

MATERIALS

- See Canvas for readings.

ASSIGNMENTS

GRADING

You will form a group of 2-4 for the duration of the quarter. You will complete the pilot study in these groups. These groups will be self-selected or assigned by the instructor, depending on your preferences.

- Participation 15%
- Individual assignment 1 5%
- Individual assignment 2 5%
- Midterm 35%
- Final project (group) 40%
 - *Pilot design* 5%
 - *Revised pilot* 10%
 - *Presentation* 25%

Participation: Participation consists of class attendance, speaking in class, engaging in small-group discussion, and participating in pilots/feedback with other groups.

Assignments: Several individual assignments, as listed in syllabus.

Midterm: There is a midterm.

Final project: There is a final group project in this class, which consists of developing a business or policy question and evaluating it using a pilot experiment. There are several graded milestones for the final project. The final milestone is a group presentation.

At the end of the quarter, all students will be asked to complete a peer evaluation. The instructor reserves the right to adjust the project and/or participation grade downward for students who did not participate equally in the group project.

Late assignments will be deducted 50%.

AI POLICY

While generative AI can be a very useful tool, in this class we will not be using AI for assignments or exams (unless your pilot study involves the impact of AI in the pilot study). We would like you to practice coming up with your own ideas and experimental designs because we believe that this process teaches critical thinking skills that are essential in business.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at: <http://senate.ucsd.edu/manual/appendices/appendix2.pdf>

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD).

The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or fosorio@ucsd.edu

CLASS SCHEDULE

See “Summary of Course Topics”